REPORT OF THE

PORTFOLIO COMMITTEE ON PUBLIC SERVICE, LABOUR AND SOCIAL WELFARE

ON THE

MINISTRIES OF PUBLIC SERVICE, LABOUR AND SOCIAL WELFARE AND SKILLS AUDIT AND DEVELOPMENT AND PUBLIC SERVICE COMMISSION'S 2025 FIRST AND SECOND QUARTERLY BUDGET PERFORMANCE REPORTS

PRESENTED IN 2026

(S.C. 21, 2026)

1.0 Introduction

1.1 This report presents a consolidated and analytical summary of the Portfolio Committee on Public Service, Labour and Social Welfare's review of the 2025 First and Second Quarter Budget Performance Reports for the Ministry of Public Service, Labour and Social Welfare, the Ministry of Skills Audit and Development and the Public Service Commission in accordance with Sections 32 to 35 of the Public Finance Management Act (PFMA) which require each Ministry to submit periodic financial and non-financial performance information to Parliament. Quarterly budget performance reports are a key accountability instrument which enable the Portfolio Committee to exercise oversight on the utilisation of appropriated resources.

1.2 Overall, the Committee found that both Ministries and the Commission operated under severe and persistent cash flow constraints, characterised by low and erratic Treasury releases. These constraints materially undermined budget execution, weakened service delivery, particularly for vulnerable populations and increased the risk of arrears accumulation. While both Ministries reported achievement of several performance targets, the Committee is concerned about the credibility, depth, and sustainability of reported outputs given very low levels of expenditure during the first half of the 2025.

2.0 Objectives

2.1 The objectives of this oversight exercise were to:

2.1 Assess whether each Ministry achieved or made credible progress towards its 2025 First and Second Quarter Budget Performance targets, and whether reported achievements reflect measurable outcomes aligned to NDS1.

2.2 Evaluate the level of resource utilisation against quarterly estimates and annual allocations, including analysis by programme and by economic classification.

2.3 Identify major bottlenecks (including cash release constraints, procurement delays, vacancies, reporting gaps and arrears) affecting programme execution.

2.4 Determine the implications of underperformance on service delivery, fiscal sustainability and vulnerability outcomes, and propose corrective actions.

3.0 Methodology

3.1 The Committee reviewed the 2025 First and Second Budget Performance Reports submitted by each Ministry and considered the analytical briefs prepared by the Parliamentary Budget Office (PBO) for each quarterly report.

3.3 The Committee also sought clarification from the Ministries on some grey areas.

4.0 COMMITTEE FINDINGS: MINISTRY OF PUBLIC SERVICE, LABOUR AND SOCIAL WELFARE

4.1 First Quarter Budget Overview

The Ministry's 2025 budget of ZWG 17.71 billion was structurally concentrated in Social Benefits, reflecting its core mandate of social protection. The first quarter budget was allocated across the three programmes with a major share directed towards Social Welfare. While this alignment is appropriate, it exposes service delivery to immediate risk when cash releases are delayed or inadequate. Underfunding of Social Benefits directly affects food assistance, disability services, education support, and institutional care.

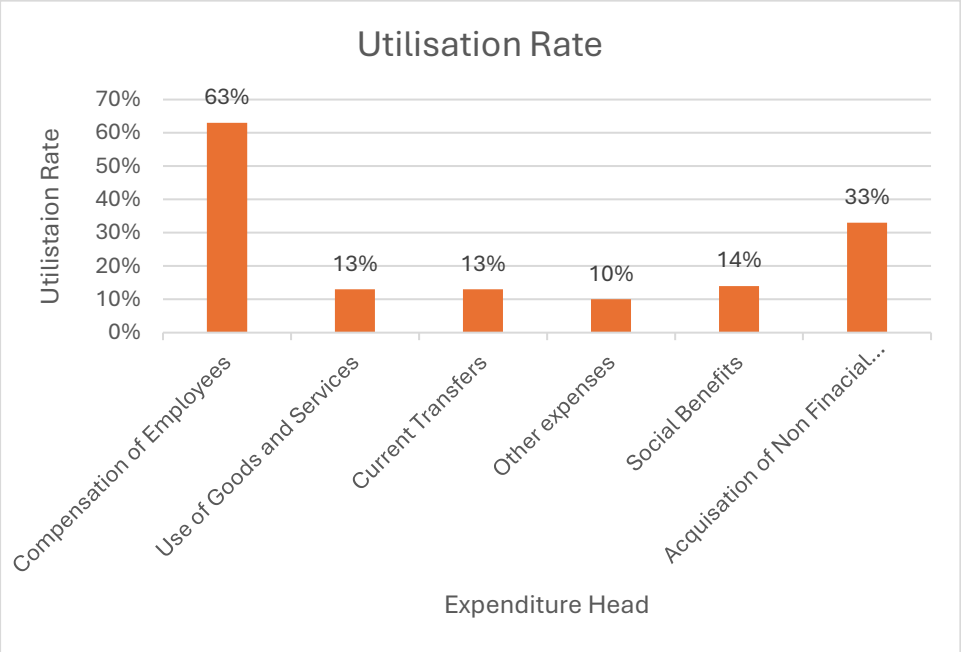
4.2 First Quarter Performance

4.2.1 Budget utilisation across all programmes was extremely low. Programme 1 (Policy and Administration) utilised ZWG 16,709 million which is merely 7.5% of the quarterly expenditure target of ZWG 219,993 million. Programme 2 (Labour Administration) utilised ZWG 70,762 million which is only 27% of the quarter target of ZWG 257,514 million and Programme 3 (Social Welfare) utilised ZWG 373,489 million which is 15% of the quarterly expenditure target of ZWG 2 571, 725 billion only.

4.2.2 The Ministry reported that residential care facilities' supply of basic needs was affected, and the payment of first term school fees and procurement of uniforms and stationery for children in institutional care were also affected. Further, assistive devices for Persons with Disabilities could not be procured and some Vocational Training Centres were threatening to withdraw students with disabilities due to non- payment of fees. In addition, the provision of entitlement grants to vulnerable groups could not be done. It was further reported that arrears to transporters who provided services during the Food Deficit distribution programme continued to accumulate.

4.2.3 The Ministry reported that Treasury did not release cash for Capital grants in the first quarter. This affected the rehabilitation of infrastructure for ZIPAM notwithstanding that this expenditure head had been budgeted for.

4.2.4 **Budget Utilisation by Economic Classification**



All expenditure heads had low utilisation rates as follows: Compensation of employees 63%, Use of goods and services 13%, Current transfers 13%, Other expenses 10%, Social benefits 14% and Acquisition of non -financial assets 33%.

4.2.5 **2025 First Performance Achievements**

The Ministry reported that for Programme 2, it had either reached or surpassed, most of its quarter targets except for the completion of Employment policy, and Employer compliance to labour standards. The Committee noted that non-completion of the Employment Policy and weak employer compliance may compromise labour market regulation reforms and the protection of workers' rights.

5.0 Ministry of Public Service's Second Quarter Performance

5.1 In the Second Quarter, there was modest improvement, particularly under Programme 3, which utilised about 70% of its quarterly target. However, cumulative utilisation by mid-year remained low at approximately 24% of the annual budget.

5.2 Programme 1 (Policy and Administration) utilised ZWG 52 938 816 which is merely 27% of the quarterly expenditure target of ZWG 194 601 000 . The budget utilisation

rate is a slight improvement from an absorption rate of 7.5% reported in the first quarter. For the period January to June 2025, the Ministry of Public Service utilised ZWG 69 648 181 translating to a utilisation rate of 9%.

5.3 Programme 2 utilised ZWG 53 656 891 in the second quarter which is only 23% of the second quarter target of ZWG 231 478 250. For the period January to June, the programme had a budget utilisation rate of only 13% and Programme 3 utilised ZWG 2 281 655 490 which is 70% of the quarter target of ZWG 3 248 448 000.

5.4 The Ministry reported that there were low cash releases which mainly affected flagship programmes such as BEAM and the Food Deficit Mitigation Strategy. The Committee urges Treasury to make timely payment of BEAM funds in order to ensure access to education for vulnerable learners and to stabilize school operations which depend on BEAM funds to cover operational costs such as teaching materials and utility bills. The amount of BEAM arrears at end of the Second Quarter was ZWG ----------

5.5 Cumulatively, the total expenditure by the Ministry of Public Service in the first six months of the 2025 was ZWG 2 820 213 290 translating to a budget utilisation rate of 24% .

6.0 Audit and Governance Issues

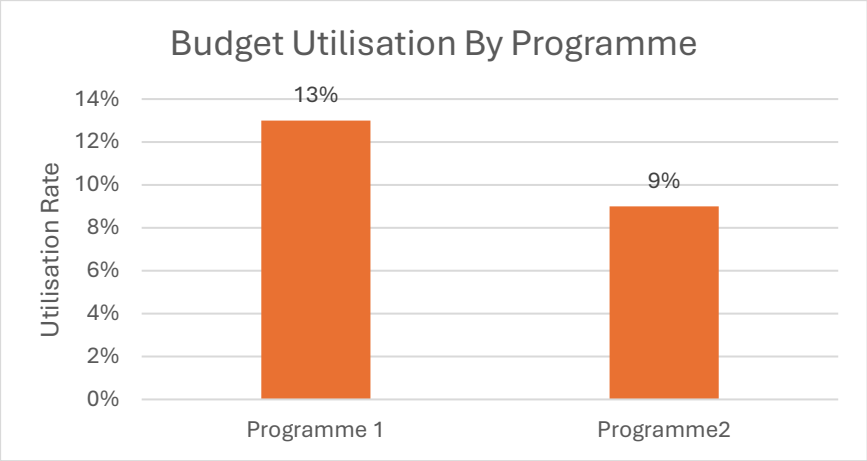
Although progress was made in addressing some Auditor-General findings, out of twelve (12) findings, seven (7) were addressed while five (5) were outstanding, including non-submission of returns, payments in arrears, and weaknesses in BEAM and cash transfer programmes. Furthermore, continued qualified opinions signal weaknesses in internal controls and compliance.

7.0 KEY FINDINGS: MINISTRY OF SKILLS AUDIT AND DEVELOPMENT

7.1 Budget Overview

The Ministry's 2025 budget of ZWG 253.2 million is heavily skewed towards Acquisition of Non-Financial Assets and Use of Goods and Services, with a relatively small share allocated to Compensation of Employees. The Committee noted a persistent imbalance, with a higher share of resources allocated to Policy and Administration relative to the core programme of Skills Audit and Development.

7.2 2025 First Quarter Budget Performance

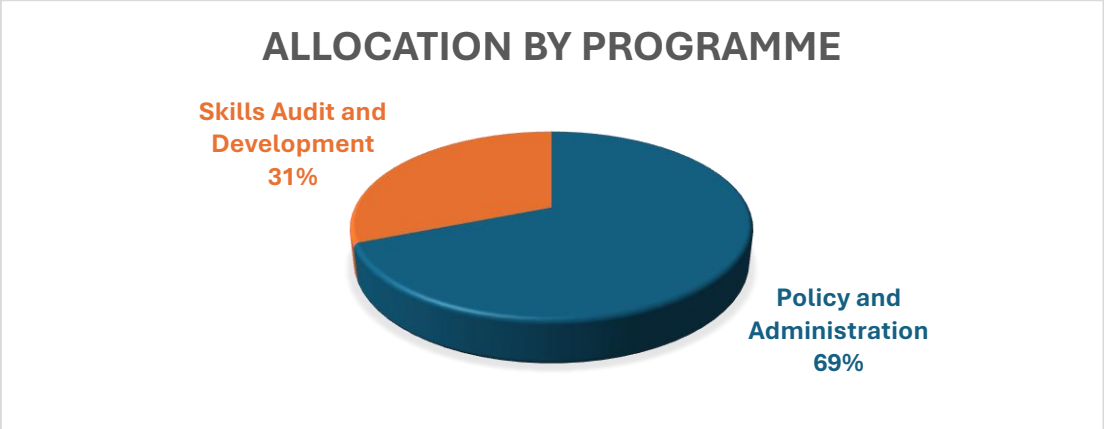


7.2.1 The Ministry utilised only about 11% of its First Quarter budget, with Programme 1 at 13% and Programme 2 at 9%. Programme 1 utilised ZWG 10 055 105 which is 13% of the quarter target of ZWG 76 768 000. Programme 2 utilised ZWG 5 641 682 which is 9% of the target for the quarter of ZWG 65 097 000. The low percentage utilisation under Programme 2 is of concern because it affects the Ministry's ability to perform its core business including conducting an informal sector skill needs assessment, crafting of scholarships policy and careers guidance policy and promotion of informal apprenticeship programmes.

7.2.2. In total, for the two programmes, in the first quarter, only 11% of the estimated budget was utilised due to non-release of funds. If this trend persists, the Ministry may not meet its set targets for the year thus affecting the Ministry's contribution to achieving NDSI targets.

7.2.3 All expenditure heads utilised less than the targeted funds for the quarter. Acquisition of non-financial assets utilised ZWG 6.122 million against a quarter target of ZWG 109.82 million translating to the lower utilisation rate of 6%. Use of Goods and Services utilised 22% of the estimated budget for the First Quarter. This raises concern over the Ministry's ability to achieve set targets in the First Quarter.

7.3 Second Quarter Performance: Ministry of Skills Audit and Development



7.3.1 The budget for the second quarter was ZWG 59 007 000 translating to 23.3% of the total 2025 budget. Programme (Policy and Administration) was allocated 69% of the estimated budget for the quarter while Programme 2 (Skills Audit and Development) was allocated 31% of the estimated budget. The low percentage utilisation under Programme 2 continues to undermine the achievement of skills development and alignment of skills to industry requirements.

7.3.2 Both programmes' budget utilisation improved to about 34% for the Second Quarter, but cumulative utilisation by mid-year remained low at around 14% of the annual allocation. Treasury cash releases remained unpredictable and insufficient.

7.3.3 Performance Achievements and Credibility Risks

The Ministry, however, reported achievements and surpassing of many annual targets by mid-year. These include skills needs assessments, stakeholder engagements, diaspora database development, and programme harmonisation.

7.4.6 Institutional Capacity Constraints

Persistent vacancies were identified as structural weaknesses affecting planning and decentralisation. The Ministry's request for additional posts to establish provincial structures remains unresolved thus limiting its ability to implement skills audits and programmes at devolved levels.

7.4.7 Arrears and Fiscal Transparency

The Ministry repeatedly failed to report on arrears to service providers. This omission conceals fiscal risks, undermines budget credibility, and limits Parliament's ability to assess hidden liabilities that may contribute to public debt pressures.

8.0 COMMITTEE'S OBSERVATIONS

8.1 Low and erratic Treasury cash releases emerged as the dominant constraint affecting both Ministries. Misalignment between approved budgets, quarterly targets, and actual cash flow undermines planning, disrupts service delivery, and increases the likelihood of arrears accumulation.

8.2 Consistent non-disclosure of arrears represents a major accountability gap. Without transparent arrears registers, Parliament cannot assess the true fiscal and debt position, sustainability of reported performance, or risks to service continuity.

8.3 Underfunding of social protection programmes disproportionately affected orphans, persons with disabilities, the elderly, and food-insecure households. These gaps undermine NDS1 commitments and expose vulnerable populations to heightened socio-economic risks. The Committee observed that predictable disbursements are critical for Social Benefits execution. The persistent pattern of low disbursement to Social Benefits undermines the Ministry's ability to meet statutory and policy obligations in social protection, potentially shifting costs to future quarters and increasing the risk of arrears.

9.0 COMMITTEE'S RECOMMENDATIONS

9.1 Treasury and the relevant line Ministries should agree on predictable cash release frameworks for critical social protection and skills development programmes at the beginning of each quarter.

9.2 Ministry of Public Service, Labour and Social Welfare should prioritise payments of Social Benefits, BEAM and cash transfers, and provide regular, consolidated performance and arrears reports, including for NSSA and ZIPAM by end of each quarter.

9.3 The Ministry of Public Service, Labour and Social Welfare and the Ministry of Finance, Economic Development and Investment Promotion should always treat disability issues as human rights issues rather than as matters of social protection.

9.4 The Ministry of Public Service, Labour and Social Welfare should complete the Employment Policy and the compliance strategy and come up with time frames of inspections with the Ministry of Finance to financing the inspections by June 2026.

9.5 Both Ministries should strengthen target-setting and performance indicators to emphasise quality, outcomes, and sustainability, aligned to realistic cash flow scenarios at the beginning of each quarter.

9.6 Gender- and province-disaggregated staffing and beneficiary data should be routinely reported to support equity, decentralisation, and gender-responsive budgeting.

9.7 Outstanding audit findings should be addressed through time-bound remedial action plans to restore financial management credibility.

10.0 Public Service Commission

10.1 Strategic Planning and Human Resources

The Commission reported 464 vacant posts out of an approved establishment of 2,065 positions, representing a vacancy rate of approximately 22.4%. Such a vacancy rate may compromise the Commission's ability to discharge its constitutional and statutory mandate effectively, particularly in areas of human capital development, pension administration, and performance management. Persistent staffing gaps may negatively affect service delivery and programme implementation.

10.2 Budget Allocation for Public Service Commission

The Commission received an annual allocation of ZWG$10.723 billion distributed across three programmes as follows:

- Programme 1: Corporate Services (4%)
- Programme 2: Human Capital Development and Management (3%)
- Programme 3: Pay and Benefits Development and Management (93%)

The allocation demonstrates Government's prioritisation of pay and benefits, which constitute the core mandate of the Commission.

10.3 Second Quarter Budget Utilisation

By the end of the Second Quarter, overall budget utilisation stood at 32%, while utilisation of disbursed funds was 40%. Cumulative expenditure was only 19% of the total 2025 budget.

Programme performance was as follows:

- Programme 1 (Corporate Services) achieved approximately 99% utilisation of its quarterly target.

- Programme 2 (Human Capital Development and Management) utilised 45% of its quarterly target, an improvement from the previous quarter.
- Programme 3 (Pay and Benefits Development and Management) utilised only 28.6% of its quarterly target, reflecting a decline from 39% in the previous quarter. Low absorption under Programme 3 is particularly concerning given that it accounts for 93% of the Commission's total allocation.

10.4 **Expenditure by Economic Classification**

- Compensation of Employees recorded only 28% utilisation of its quarterly target and 38% of disbursed funds.
- Use of Goods and Services achieved 81% utilisation, indicating relatively efficient spending.
- No disbursements were made for Social Benefits, meaning no implementation of welfare-related programmes occurred during the quarter.
- Expenditure on Acquisition of Non-Financial Assets exceeded the quarterly target by 31%, raising concerns about planning and financial controls.

10.5 **PERFORMANCE MANAGEMENT**

The Commission reported several achievements during the second quarter, including:

- Alignment of 21line Ministry structures against a target of 17.
- Electronic registration of 5,314 candidates against a target of 5,000.
- Capacitation of 1,948 disciplinary authorities against a target of 1,250.

Certain targets, including review of the Job Evaluation Framework and labour practices capacity building workshops, were not met due to limited release of funds.

10.6 **REVENUE PERFORMANCE**

The Commission collected ZWG$43.5 million cumulatively by the end of the Second Quarter and USD 2.48 million in the second quarter. All revenue was remitted to the Consolidated Revenue Fund in compliance with Section 302 of the Constitution which is commendable.

10.7 **Audit Findings and Governance**

The Commission received a Qualified Opinion in the 2024 Auditor General's report. Several critical issues remain unresolved across its Appropriation Account and various Funds, including:

- Manual receipting of revenue outside electronic systems.
- Lack of approved tariff structures.
- Unresolved losses and damages to Government property.
- Absence of actuarial valuation for pension liabilities since 2012.

- Significant pension receivables and liquidity concerns.
- Inadequate documentation for investments.
- Weak accounting systems and reliance on manual or spreadsheet-based records.

11. Observations

- Audit findings point to systemic weaknesses in internal controls and the PSC should to address these issues.
- Financial constraints continue to affect implementation of key reforms.
- Overall low utilisation delays key reforms such as salary reviews, digitalisation, and pension processing.
- Non-disbursement of funds for social benefits adversely affects public servants' welfare.

12.0 Recommendations

12.1 The Commission must develop a time-bound action plan to address all outstanding audit findings by 31 December of 2026.

12.2 Treasury should ensure timely and adequate release of funds to avoid implementation delays.

12.3 Social benefit allocations should be prioritised to safeguard public servants' welfare in each quarter.

12.4 The Commission should develop and implement a staffing rationalisation and recruitment plan to address the 22.4% vacancy rate by end of September 2026.

13.0 CONCLUSIONS

The Committee concluded that while both Ministries complied with PFMA reporting requirements, budget execution in the first half of 2025 was severely constrained by inadequate and unpredictable cash releases. Persistent underfunding of core programmes, weak arrears reporting, and questionable alignment between expenditure and reported performance undermine service delivery effectiveness and fiscal credibility.